

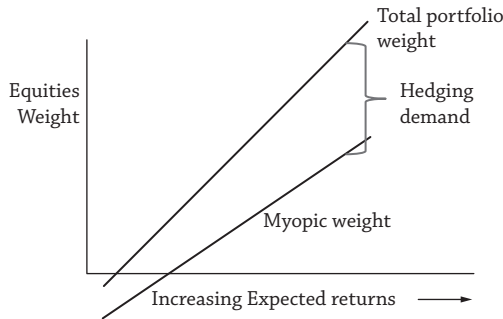


Figure 4.8

dividend yield itself also persistently varies over time.²³ Under the Stambaugh system, the long-term opportunistic portfolios are positive and increase with horizon.²⁴ This is shown in Figure 4.8 where the short-run, myopic weights and the total long-run weights increase as expected returns increase and investment opportunities become more attractive. Long-run investors actually are leveraged versions of short-run investors: if short-run investors want to buy when expected returns are high, long-run investors will buy more. Opportunistic investing allows long-term investors to exploit predictability even more than short-run investors do.²⁵

The Norwegian sovereign wealth fund, following a constant rebalancing rule during 2008 and 2009, bought equities when prices were low and expected returns were high. Had the fund taken advantage of long-run, opportunistic strategies, it would have bought even more equities. Thus, the rebalancing rule functions as a conservative lower bound for “buying low and selling high.” I advise you to concentrate on rebalancing first before focusing on opportunistic strategies. Simple rebalancing is itself counter-cyclical; long-run opportunistic investing in the Stambaugh model is much more aggressively counter-cyclical. If you cannot rebalance, which already involves buying assets that are falling in price (relative to other assets), then there is no way that you can implement opportunistic long-run investing. When returns follow the Stambaugh model, opportunistic long-run investing involves buying even more of the assets that have fallen in price than what simple rebalancing suggests. I also recommend that opportunistic portfolios should be modest: taking into account estimation error, combined

²³ Chapter 8 shows this is a good system to capture predictability. Although predictability is generally weak, the best predictor variables tend to be valuation ratios.

²⁴ This system is used by Campbell and Viceira (1999, 2002), for example, and is generalized by Pástor and Stambaugh (2009, 2012a).

²⁵ Opportunistic demands are not always positive, as Liu (2007) shows for different models of predictability.